and a lot more if the business takes off. You don't want to be a hog. But you're a venture capitalist. Venture capitalists take sizable shares of the businesses they help finance. If you do a risky real estate deal, make sure you stand to make out if the buildings go up in value. I've seen high-risk real estate deals that reserve the upside, beyond a certain point, for a select group. Make sure you're one of the select group or don't do the deal.

How should you divide your investments between low-risk and high-risk? The answer depends on your attitude toward risk. Assuming you want to build your net worth to $400,000 or $500,000, I recommend you buy small amounts of high-risk investments once your net worth hits $100,000. By small amounts I mean $5,000 to $10,000, certainly less than $20,000. By net worth I mean total net worth, including your IRAs, employee benefit programs, equity in your home, and cash on hand. Later, as your net worth increases, you may want to put up to 30 percent in high-risk investments.